

HARBOR FABRICATION CO. - PURCHASING POLICY

Document HF-PUR-100, Revision 2.1. Effective February 1, 2026. Owner: VP of Supply Chain.

1. Purpose and Scope

This policy governs every purchase of production material by Harbor Fabrication Co. It applies to all buyers, planners and automated purchasing tools.

2. Approved Supplier List

Production material may only be bought from suppliers on the Approved Supplier List (ASL). Suppliers struck from the Approved Supplier List must not be used for any reason, including urgent need.

2.1 Certification

Suppliers of electronic components, circuit boards and safety-related parts must hold a current ISO-9001 certificate. Suppliers of power conversion components (DC link capacitor packs, choke cores) must also hold IEC-62368 certification.

3. Country of Origin

Harbor Fabrication Co. buys from domestic (United States and Mexico) suppliers by preference. An international supplier may be chosen only if: (a) no domestic supplier can deliver by the date required, (b) the domestic price is more than 30% above the international price, or (c) no domestic source offers the part. For critical parts (Section 4) the price test in (b) uses 45% instead of 30%.

4. Critical Parts

The following are critical parts: motor controller ICs, IGBT power modules, circuit boards, samarium-cobalt magnets, and all sensing ICs and transducers (flow, level, salinity). Each critical part should have at least two qualified suppliers.

5. Supplier Diversification

No single supplier may provide more than 65% of the units of any critical part bought in a rolling 12-month window, or more than 80% for any other part. A part available from only one supplier requires a Sole Source Justification on file.

5.1 Order Quantities

Every purchase order must be at or above the supplier's minimum order quantity (MOQ).

6. Hazardous Goods

Purchases of hazardous goods must be flagged for review by purchasing before release; receiving them into the flammables store can add time to delivery.

7. Approval Authority

Any purchase order above \$40,000 needs approval from the Sourcing Manager. Any purchase order above \$120,000 needs approval from the VP of Supply Chain. Buyers should weigh total cost of ownership, not unit price alone.

7.1 Line-Stop Orders

Where a purchase is needed to prevent a line stoppage, an order of up to \$60,000 may be placed before approval, provided approval is obtained retroactively within 3 business days.

8. Environmental Preference

When two offers are comparable in price (within 8%) and delivery (within 4 business days), prefer the supplier with an environmental rating of A or better. Suppliers rated below B should be used only as a last resort. ISO-14001 certification counts in a supplier's favour.

9. Strategic Partners

Order volume with suppliers designated Strategic should be kept steady, even when another supplier offers somewhat lower prices (savings of up to 12%). Moving a significant share of volume away from a Strategic supplier requires approval from the VP of Supply Chain.

10. Delivery Dates

Each purchase order's expected delivery date must equal the order date plus the supplier's quoted lead time.